

long-term care needs, renovating your home to allow for aging in place, and other life transitions.

The questionnaire guides you toward prioritizing the relative importance of these four goals in your life. Once you prioritize these goals, you can assess and prioritize the tactics for your RIO-Map to best meet the goals and manage their risks.

## **Assets and Liabilities**

The next column of the RIO-Map is for household assets. Assets consist of more than just investment accounts, as we include every resource at the household's disposal for meeting retirement liabilities. Assets will be the means to connect your goals to your liabilities. We need to properly position these assets with different tactics and tools. The goals can be mapped directly to liabilities, and the available assets are what we use to build the map and meet retirement expenses as expressed through the goals. While liabilities represent the fourth column on the RIO-Map, we do not need a separate section about them. Liabilities are simply the numerical quantification of the retiree financial goals. We will focus instead on how assets match to these goals/liabilities. This bigger picture makes clear that we are focusing on more than just the investment portfolio. Those without adequate reliable income and reserves may, in effect, have to behave like more risk-averse investors with regard to the investment portfolio, but it is important to move beyond investments with the planning.

Assets are divided among reliable income, the diversified portfolio, and reserves. Reliable income resources are used to draw consistent income to meet longevity goals and to cover essential expenses. Reliable income answers the question, "How can I create a base of secure income in retirement that is safeguarded from market volatility?" Tactics within this section include Social Security claiming, annuities, traditional pensions, bond income ladders, and potentially continued employment. In some cases, access to home equity through a reverse mortgage may also be a source of reliable income. In combination, these tactics make up what we refer to as the "safety-first" portion of your assets. Those worried about longevity will place a greater focus here.